DIASWEALTH

2024

WELCOME

NAVIGATING STOCK MARKET VOLATILITY AND FEES INVESTING

Presenter: CARLOS DIAS JR.

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ABOUT PRESENTER

CARLOS DIAS JR.

Founder and President of Dias Wealth

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- Financial advisor with almost two decades of experience
- Speaker
- Contributor for Kiplinger, MarketWatch, and Forbes
- Multilingual (Portuguese and Spanish)
- Work with Accountants, Attorneys, and Clients

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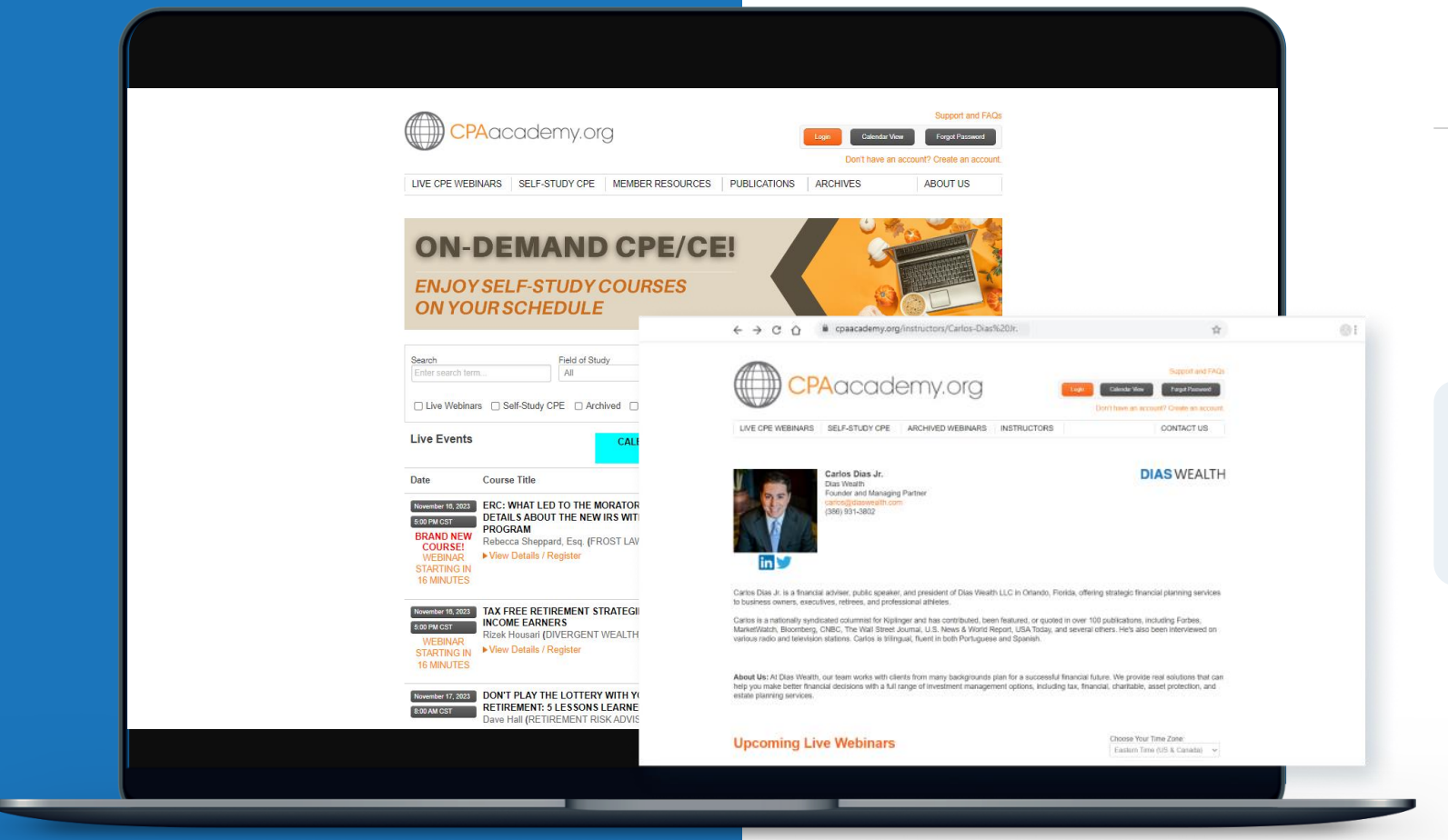

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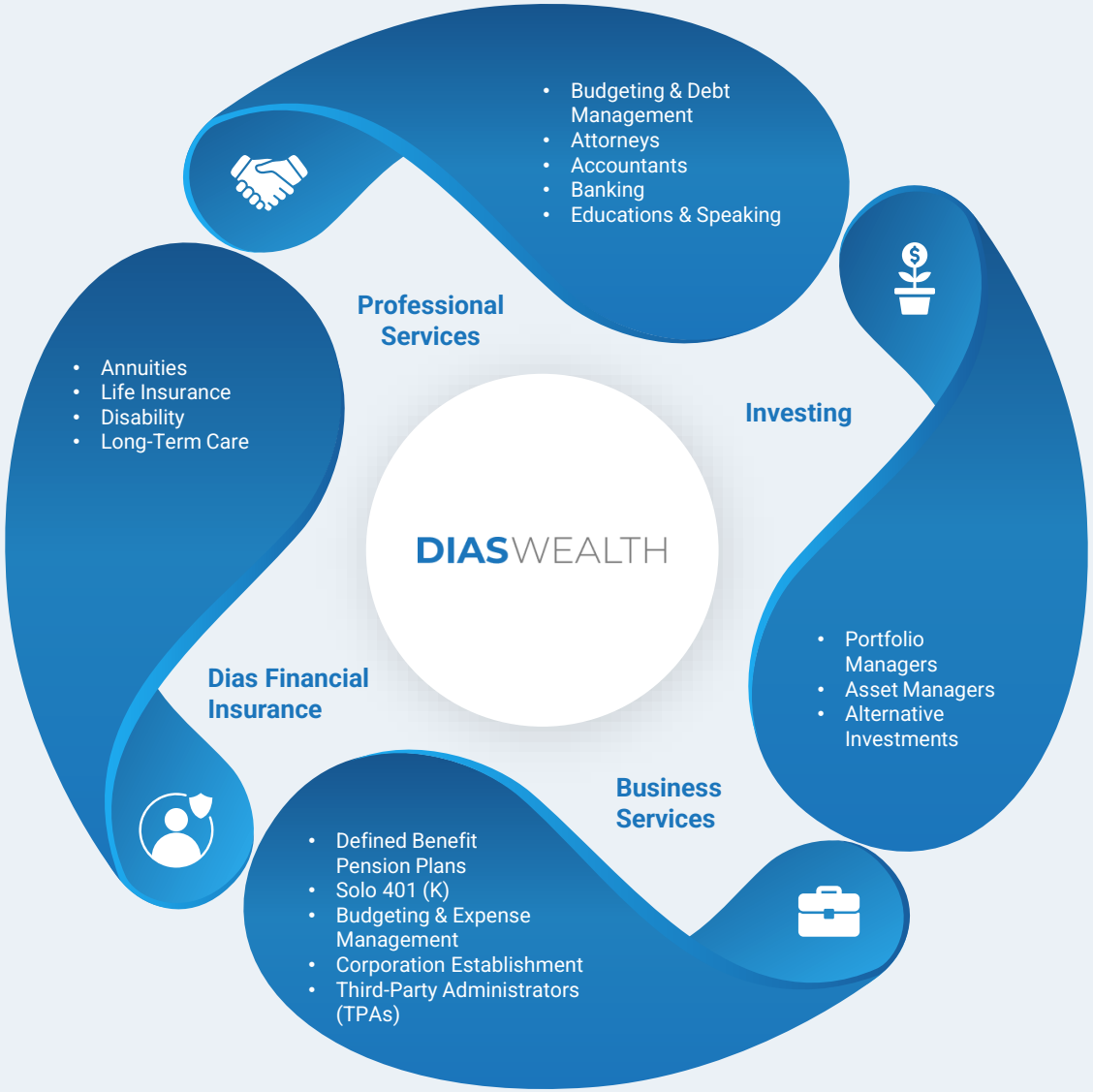

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For questions, case scenarios, or any other general issues please contact Carlos via:

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calendly.com/diaswealth

CONTACT

linktr.ee/diaswealth

linqapp.com/carlosdiasjr

PHONE OR EMAIL

(407) 801-2244

carlos@diaswealth.com

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LEARNING OBJECTIVES

- Investing Hierarchy and General Risks
- Passive vs. Active Asset Allocation
- Strategies to Navigate Stock Market Volatility
- Role of Different Advisors and Value
- 8 Critical Questions on Investing

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TERMS TO KNOW

Discretionary Management
Full authority to make decisions for an investor

Non-Discretionary Management
Advises but needs consent from an investor

Fundamental Analysis
Evaluates stock on fair value (intrinsic value)

Technical Analysis
Evaluates stock using trends and patterns

Active Management
Goal of achieving higher returns than benchmark (index)

Passive Management
Low turnover and markets are effective through stability (efficient market hypothesis)

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PATTERNS & PITFALLS STUDY

Background

2010 Library of Congress research identified common investment mistakes and insight of those reluctant.

Results

- Reluctance to invest is often financial illiteracy
- Limited participation among wealthy investors often due to lack of trust and fear of being cheated
- Growing out-of-pocket health-care costs of concern;
- Active traders underperform the market
- Investors disregard fees of actively managed plans, focusing instead on annualized returns, which does not predict future performance

THE LIBRARY OF CONGRESS

BEHAVIORAL PATTERNS AND PITFALLS OF U.S. INVESTORS

A Report Prepared by the Federal Research Division, Library of Congress under an Interagency Agreement with the Securities and Exchange Commission

August 2010

Researcher: Seth L. Elan

Project Manager: Malinda K. Goodrich

Federal Research Division
Library of Congress
Washington, D.C. 20540–4840
Tel: 202–707–3900
Fax: 202–707–3920
E-Mail: frds@loc.gov
Homepage: http://www.loc.gov/rr/frd/

This work presents the findings of the author, based on research and analysis adhering to accepted standards of scholarly objectivity. The findings do not necessarily reflect the views of the SEC, its Commissioners, or other members of the SEC's staff.

★ 62 Years of Service to the Federal Government ★
1948 – 2010

Source: Library of Congress

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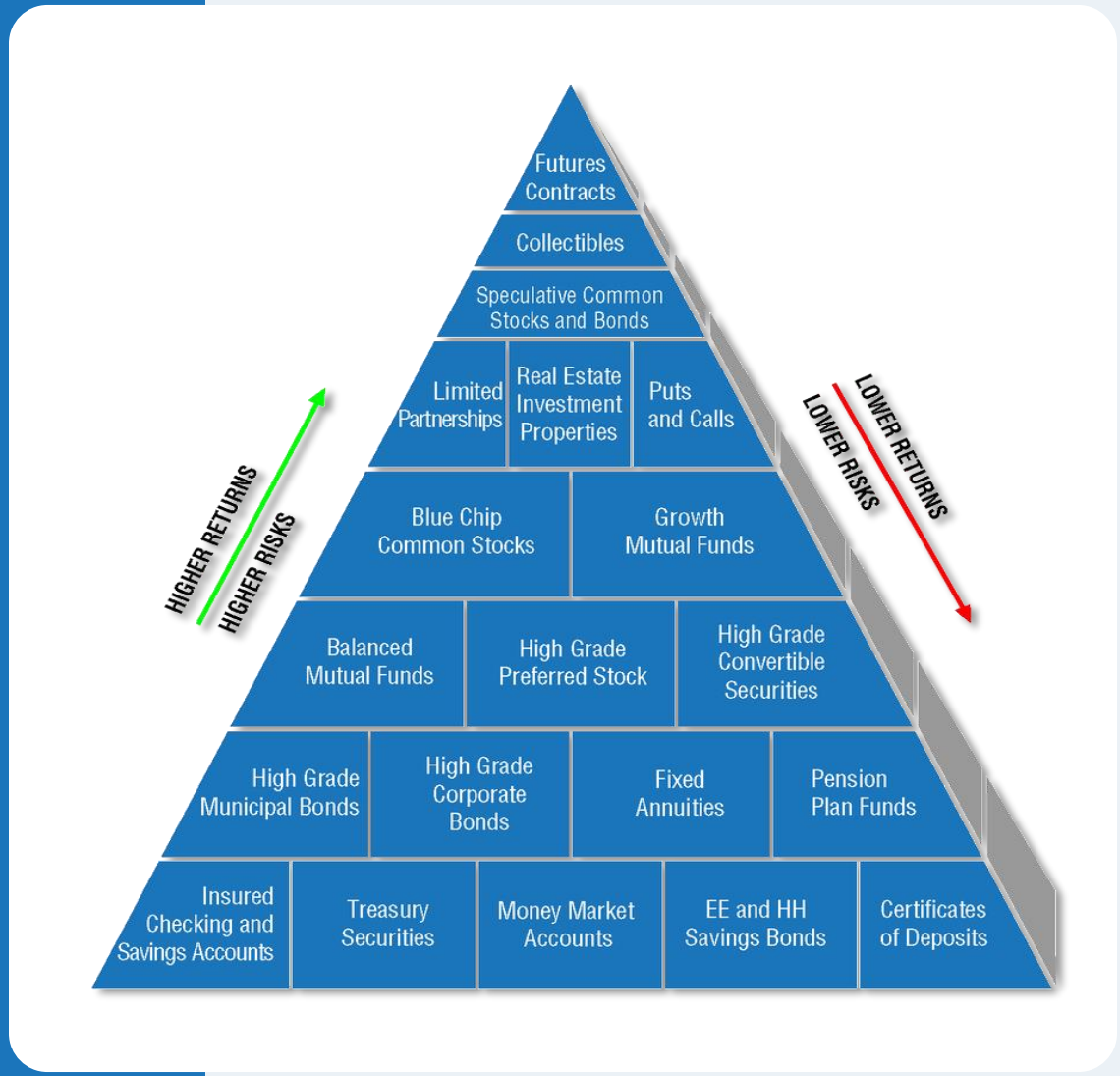
INVESTMENTS RISK & RETURNS

What does the pyramid reflect?

Investments with lower to significantly higher risk. However, they don't always produce higher returns.

How to determine which investments?

Through a risk tolerance form, certain questions and scenarios will assist with an investment plan recommendation.



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BULL MARKET

What are bull market characteristics?

Low unemployment, higher GDP, and positive investor sentiment.

What about performance and duration?

Stocks are typically up 20% or more and average duration is up to 3 years.

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BEAR MARKET

What are bear market characteristics?

Higher unemployment, lower GDP, and negative investor sentiment.

What about performance and duration?

Stocks are typically down 20% or more and average duration is up to 10 months.

From 1929-2021, a typical bull market is 289 days with an average of -35.62%.

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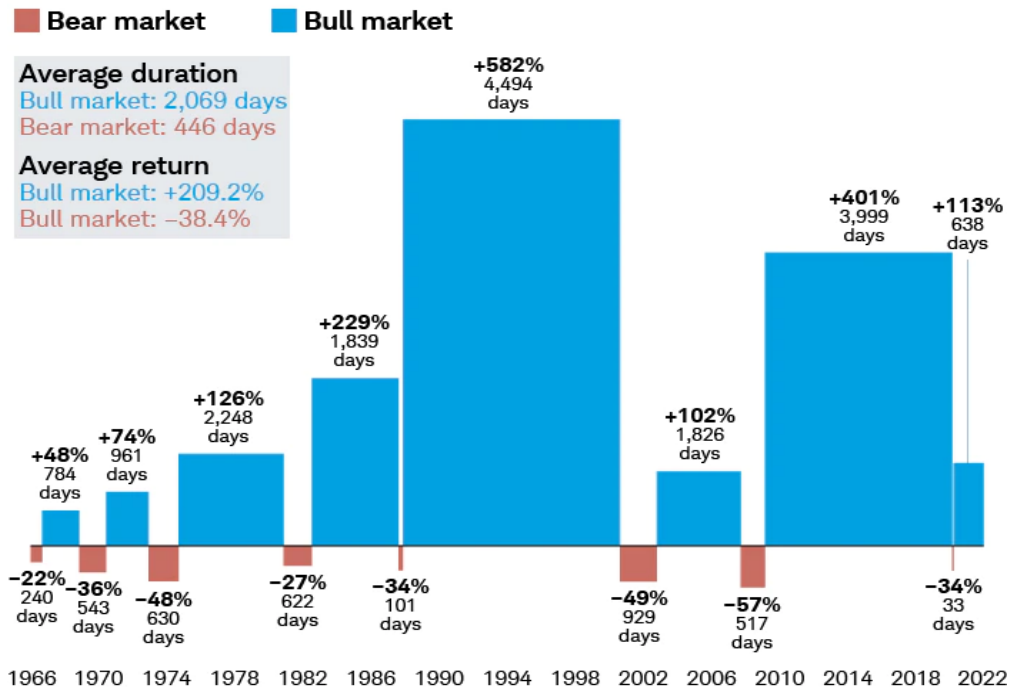
BEAR MARKET

How many possible bear markets?

Over the course of a 50-year investment horizon, there should be about 14 bear markets (every 3.5 years).

Do bear markets affect retirement?

Yes, with “sequence of returns” risk, lower or negative returns early in retirement increase the probability of running out of money later on.



Source: Schwab Center for Financial Research

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POLLING QUESTION #1

Which of the following is not a characteristic of a bear market?

a. Lower GDP
b. Lower unemployment
c. Stocks are typically down 20% or more
d. Negative investor sentiment

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TYPES OF RISKS

Concentration Risk	Credit Risk	Inflation Risk	Interest Rate Risk	International Risk
Asset classes, industries, or sectors prone to higher risks	Payment default or inability to meet financial obligation	Future purchasing power undermines performance	Bond prices decline due to rising interest rates	Investing in the securities of non-U.S. companies

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TYPES OF RISKS

Legislative Risk

Legislative changes or court rulings impact the value

Liquidity Risk

Investments are difficult to purchase or sell

Manager Risk

Proportions allocated can cause underperformance relevant to benchmarks

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CONCENTRATION RISK

What is concentration risk?

Investments focused on particular asset classes, industries, or sectors subject to greater risks.

How to avoid concentration risk?

- Diversification: Across different sectors
- Rebalancing: Review and make adjustments
- Avoid illiquid investments: Private equity, venture capital, non-traded Real Estate Investment Trusts (REITs), and other types of private placements as well as penny stocks

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CREDIT RISK

What is credit risk?

Issuer of bond can have adverse change that can result in payment default or inability to meet obligation.

How to avoid credit risk?

Use investment-grade bonds (in comparison to non-investment-grade bonds) and completely avoid junk bonds. Also, using annuities as bond alternative remove credit risk.

Typical Credit Rating Scale
AAA
AA
A
BBB
BB
B
CCC
CC
C
D (default)

For further refinement, some of the ratings above may be modified with a “+” , “-”, or a number

Source: SEC

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INFLATION RISK

What is inflation risk?

Inflation will undermine the performance of an investment and/or the future purchasing power.

How to avoid inflation risk?

Diversification into multiple asset classes should help reduce inflation risk.

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INTEREST RATE RISK

What is interest rate risk?

Chance that bond prices overall will decline due to rising interest rates.

How to avoid interest rate risk?

Depending on the time period, investing in either short, mid, or long-term bonds might help avoid interest rate risk. Also, using annuities can reduce the risk associated with bonds.

Date	1 Mo	2 Mo	3 Mo	4 Mo	6 Mo	1 Yr	2 Yr	3 Yr	5 Yr	7 Yr	10 Yr	20 Yr	30 Yr
01/03/2022	0.05	0.06	0.08	N/A	0.22	0.40	0.78	1.04	1.37	1.55	1.63	2.05	2.01
02/01/2022	0.04	0.10	0.19	N/A	0.48	0.78	1.18	1.39	1.63	1.76	1.81	2.19	2.12
03/01/2022	0.11	0.21	0.32	N/A	0.60	0.91	1.31	1.47	1.56	1.67	1.72	2.19	2.11
04/01/2022	0.15	0.37	0.53	N/A	1.09	1.72	2.44	2.61	2.55	2.50	2.39	2.60	2.44
05/02/2022	0.41	0.71	0.90	N/A	1.49	2.10	2.73	2.93	3.01	3.04	2.99	3.26	3.07
06/01/2022	0.77	0.90	1.15	N/A	1.63	2.16	2.66	2.84	2.94	2.98	2.94	3.31	3.09
07/01/2022	1.27	1.68	1.73	N/A	2.52	2.79	2.84	2.85	2.88	2.92	2.88	3.35	3.11
08/01/2022	2.22	2.33	2.56	N/A	2.96	2.98	2.90	2.82	2.66	2.64	2.60	3.12	2.92
09/01/2022	2.53	2.80	2.97	N/A	3.34	3.51	3.51	3.54	3.39	3.36	3.26	3.64	3.37
10/03/2022	2.87	3.26	3.46	N/A	3.97	4.01	4.12	4.12	3.90	3.79	3.67	4.00	3.73
11/01/2022	3.72	4.00	4.23	4.35	4.58	4.75	4.54	4.48	4.27	4.18	4.07	4.37	4.14
12/01/2022	4.04	4.24	4.33	4.52	4.65	4.66	4.25	3.98	3.68	3.62	3.53	3.85	3.64

Source: U.S. Department of the Treasury

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INTEREST RATES VS. BONDS

Do both have an inverse relationship?

Yes, interest rates and bonds have an inverse relationship. If a bond is purchased when interest rates are higher, its price will increase if sold during a period of lower interest rates.

What if bond is held until end of term?

If a bond is purchased during lower interest rates and never sold, it wouldn't lose value.

Source: Allianz

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INTERNATIONAL RISK

What is international risk?

Foreign investments tend to be riskier and less liquid than domestic ones and may lose value with adverse political, social or economic developments overseas or due to changes in the exchange rates between foreign currencies and the U.S. dollar. They're also subject to settlement practices, as well as regulatory and financial reporting standards.

How to avoid international risk?

Choosing U.S. investments as opposed to foreign ones.

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LEGISLATIVE RISK

What is legislative risk?

Legislative changes or court rulings may impact the value of investments.

How to avoid legislative risk?

Diversification into multiple asset classes should help reduce legislative risk.

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LIQUIDITY RISK

What is liquidity risk?

Particular illiquid investments that are difficult to purchase or sell leading to possible losses.

How to avoid liquidity risk?

Avoid private equity, non-traded REITS, and any other type of private placement.

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MANAGER RISK

What is manager risk?

Underperformance relevant to benchmarks or other accounts with a similar investment objective.

How to avoid manager risk?

Depending on investment objectives, use a portfolio manager that fits the same mindset with an unbiased approach to making recommendations.

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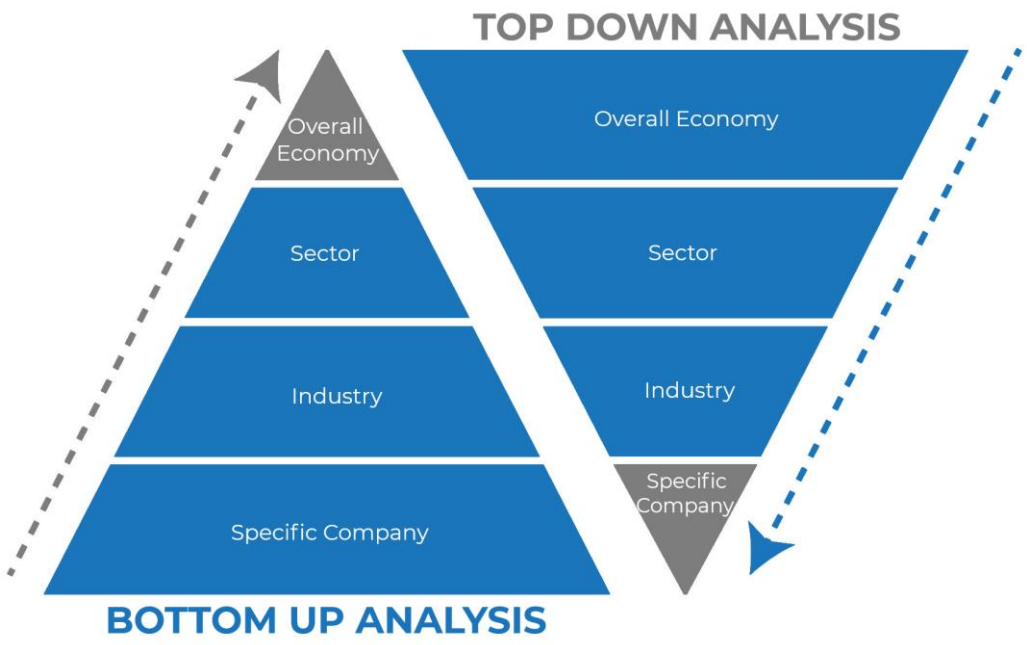
TOP-DOWN VS. BOTTOM-UP ANALYSIS

What is top-down analysis?

Macroeconomic variables (overall or high-level) analyzing GDP, inflation, interest rates, and unemployment (technical analysis).

What is bottom-up analysis?

Microeconomic variables financials analyzing management and personnel, supply and demand, goods and services offered by a company to determine if over or undervalued (fundamental analysis).



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PASSIVE ASSET ALLOCATION

What is passive asset allocation?

Investors normally subscribe to the efficient market hypothesis and prefer index funds with low turnover. The main goal is to minimize fees over the long term.

What risks exist with passive investing?

Predetermined set of investments that are subject to stock market risk, concentration risk, inflation risk, and interest rate risk. Passive asset allocation often provides less control of the investments and are overvalued.

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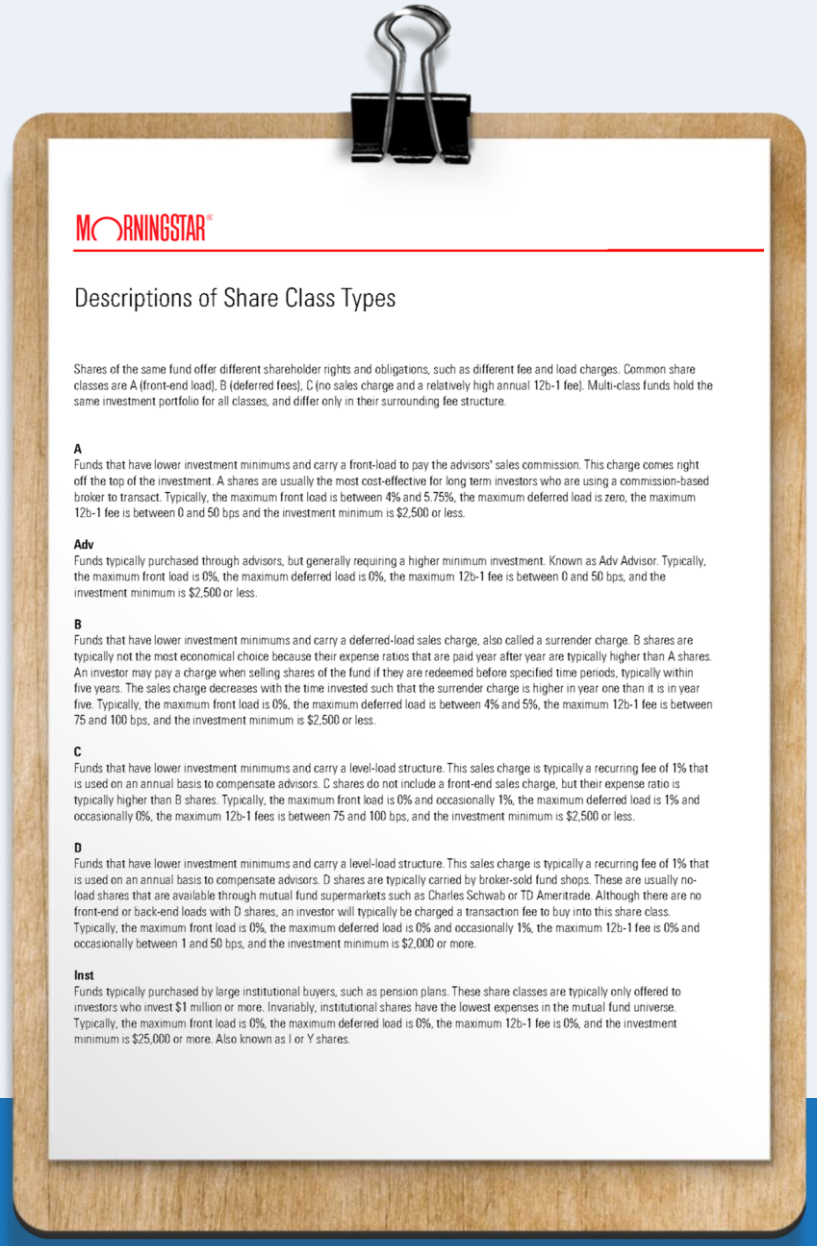
MUTUAL FUND CLASSES

How many different class types?

There are 14 different mutual class types and can be front-end load, deferred fees, or no sales charge but a higher annual 12b-1 fee.

What's the difference between a open and closed-end mutual funds?

- Open-end mutual fund: Shares are purchased at the Net Asset Value (NAV) at the end of the day
- Closed-end mutual fund: Offer a fixed number of shares based on supply and demand and don't trade at NAV



MORNINGSTAR

Descriptions of Share Class Types

Shares of the same fund offer different shareholder rights and obligations, such as different fee and load charges. Common share classes are A (front-end load), B (deferred fees), C (no sales charge and a relatively high annual 12b-1 fee). Multi-class funds hold the same investment portfolio for all classes, and differ only in their surrounding fee structure.

A
Funds that have lower investment minimums and carry a front-load to pay the advisors' sales commission. This charge comes right off the top of the investment. A shares are usually the most cost-effective for long term investors who are using a commission-based broker to transact. Typically, the maximum front load is between 4% and 5.75%, the maximum deferred load is zero, the maximum 12b-1 fee is between 0 and 50 bps and the investment minimum is $2,500 or less.

Adv
Funds typically purchased through advisors, but generally requiring a higher minimum investment. Known as Adv Advisor. Typically, the maximum front load is 0%, the maximum deferred load is 0%, the maximum 12b-1 fee is between 0 and 50 bps, and the investment minimum is $2,500 or less.

B
Funds that have lower investment minimums and carry a deferred-load sales charge, also called a surrender charge. B shares are typically not the most economical choice because their expense ratios that are paid year after year are typically higher than A shares. An investor may pay a charge when selling shares of the fund if they are redeemed before specified time periods, typically within five years. The sales charge decreases with the time invested such that the surrender charge is higher in year one than it is in year five. Typically, the maximum front load is 0%, the maximum deferred load is between 4% and 5%, the maximum 12b-1 fee is between 75 and 100 bps, and the investment minimum is $2,500 or less.

C
Funds that have lower investment minimums and carry a level-load structure. This sales charge is typically a recurring fee of 1% that is used on an annual basis to compensate advisors. C shares do not include a front-end sales charge, but their expense ratio is typically higher than B shares. Typically, the maximum front load is 0% and occasionally 1%, the maximum deferred load is 1% and occasionally 0%, the maximum 12b-1 fees is between 75 and 100 bps, and the investment minimum is $2,500 or less.

D
Funds that have lower investment minimums and carry a level-load structure. This sales charge is typically a recurring fee of 1% that is used on an annual basis to compensate advisors. D shares are typically carried by broker-sold fund shops. These are usually no-load shares that are available through mutual fund supermarkets such as Charles Schwab or TD Ameritrade. Although there are no front-end or back-end loads with D shares, an investor will typically be charged a transaction fee to buy into this share class. Typically, the maximum front load is 0%, the maximum deferred load is 0% and occasionally 1%, the maximum 12b-1 fee is 0% and occasionally between 1 and 50 bps, and the investment minimum is $2,000 or more.

Inst
Funds typically purchased by large institutional buyers, such as pension plans. These share classes are typically only offered to investors who invest $1 million or more. Invariably, institutional shares have the lowest expenses in the mutual fund universe. Typically, the maximum front load is 0%, the maximum deferred load is 0%, the maximum 12b-1 fee is 0%, and the investment minimum is $25,000 or more. Also known as I or Y shares.

Source: Morngingstar

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MUTUAL FUNDS VS. ETFS

Are both the same?

No, traditional mutual funds are much different overall. While index mutual funds and Exchange Traded Funds (ETFs) seem similar, there are disparities.

What's the main difference between a mutual fund and ETF?

The key difference is that ETFs can be purchased or traded throughout the day (or "intraday") as opposed to mutual funds only being to be bought and sold at the end of the day.

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ACTIVE ASSET ALLOCATION

What is active asset allocation?

Investors wanting to earn higher returns in comparison to a benchmark. Quantitative analysis is used and often those involved are said to use a “contrarian” approach.

What risks exist with active investing?

Depending on the portfolio manager, potentially higher fees, increased stock market risk from overexposure, and interest rate risk.

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POLLING QUESTION #2

Which type of risk does not affect a bond?

a. Concentration risk
b. Credit risk
c. Inflation risk
d. Interest rate risk

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NAVIGATING MARKET VOLATILITY

Review Risk Tolerance	Readjust Investing Approach	Rebalance Investments	Tax-Loss Harvesting	Diversify Tax Classes
Make sure risk tolerance matches portfolio	Growth vs. Value investing	Asset allocation back on track when it's shifted away	Sell investments losing money to reduce capital gains	Maximize efficiency for tax treatment

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NAVIGATING MARKET VOLATILITY

Change Asset Classes

Move from different sector(s) to others

Dollar Cost Averaging

Investing fixed amounts over a time period

Annuity and Life Insurance as Bond Substitute

Increasing retirement success score and guaranteeing lifetime income

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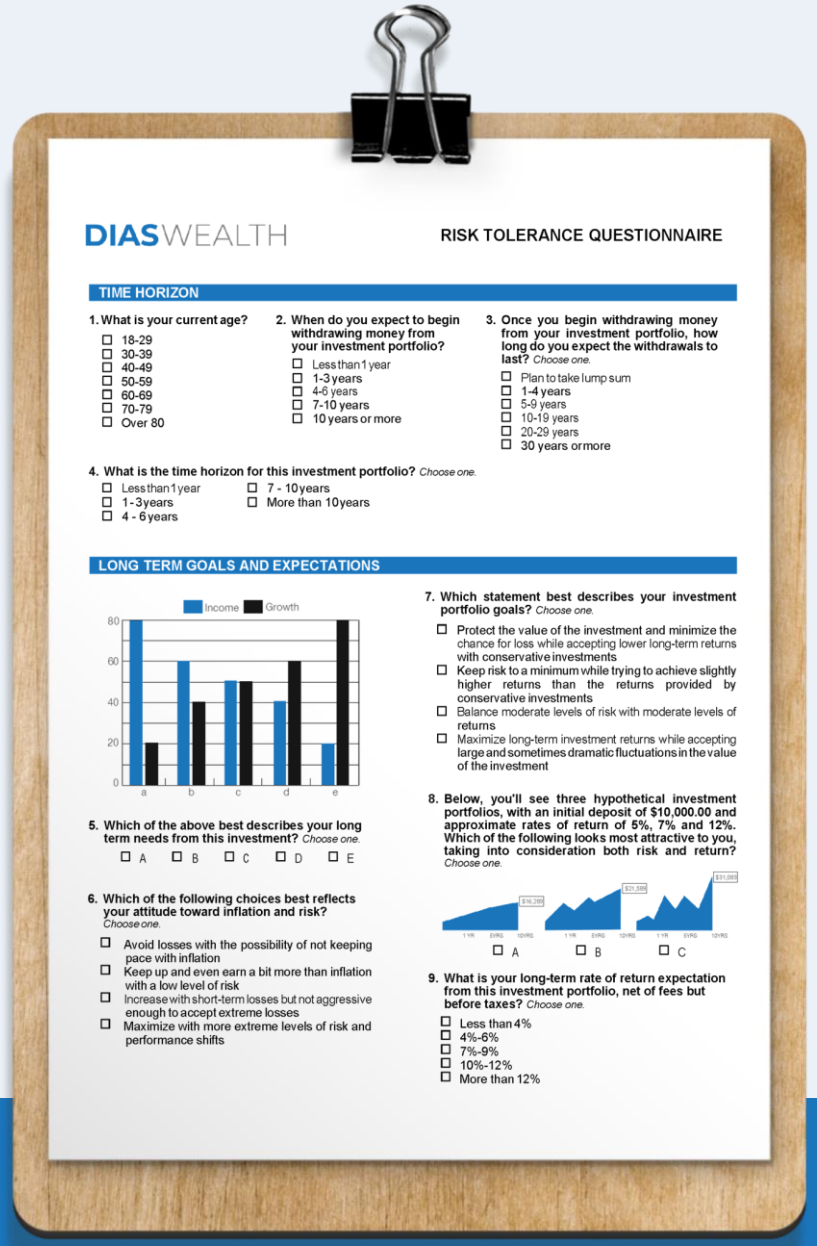
REVIEW RISK TOLERANCE

What is risk tolerance with investing?

The level of risk an investor is willing to take while taking into account age, time horizon, and potential withdrawals from a portfolio.

How will a risk tolerance form help?

Normally, investors are given recommendations based on a financial advisors duty to a broker-dealer. When a fiduciary duty exists, a more transparent and accurate recommendation can be given.



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RISK TOLERANCE QUESTIONNAIRE

TIME HORIZON

1. What is your current age?
   - ☐ 18-29
   - ☐ 30-39
   - ☐ 40-49
   - ☐ 50-59
   - ☐ 60-69
   - ☐ 70-79
   - ☐ Over 80

2. When do you expect to begin withdrawing money from your investment portfolio?
   - ☐ Less than 1 year
   - ☐ 1-3 years
   - ☐ 4-6 years
   - ☐ 7-10 years
   - ☐ 10 years or more

3. Once you begin withdrawing money from your investment portfolio, how long do you expect the withdrawals to last? *Choose one.*
   - ☐ Plan to take lump sum
   - ☐ 1-4 years
   - ☐ 5-9 years
   - ☐ 10-19 years
   - ☐ 20-29 years
   - ☐ 30 years or more

4. What is the time horizon for this investment portfolio? *Choose one.*
   - ☐ Less than 1 year
   - ☐ 1-3 years
   - ☐ 4-6 years
   - ☐ 7-10 years
   - ☐ More than 10 years

LONG TERM GOALS AND EXPECTATIONS

5. Which of the above best describes your long term needs from this investment? *Choose one.*
   ☐ A ☐ B ☐ C ☐ D ☐ E

6. Which of the following choices best reflects your attitude toward inflation and risk? *Choose one.*
   - ☐ Avoid losses with the possibility of not keeping pace with inflation
   - ☐ Keep up and even earn a bit more than inflation with a low level of risk
   - ☐ Increase with short-term losses but not aggressive enough to accept extreme losses
   - ☐ Maximize with more extreme levels of risk and performance shifts

7. Which statement best describes your investment portfolio goals? *Choose one.*
   - ☐ Protect the value of the investment and minimize the chance for loss while accepting lower long-term returns with conservative investments
   - ☐ Keep risk to a minimum while trying to achieve slightly higher returns than the returns provided by conservative investments
   - ☐ Balance moderate levels of risk with moderate levels of returns
   - ☐ Maximize long-term investment returns while accepting large and sometimes dramatic fluctuations in the value of the investment

8. Below, you'll see three hypothetical investment portfolios, with an initial deposit of $10,000.00 and approximate rates of return of 5%, 7% and 12%. Which of the following looks most attractive to you, taking into consideration both risk and return? *Choose one.*

   ☐ A ☐ B ☐ C

9. What is your long-term rate of return expectation from this investment portfolio, net of fees but before taxes? *Choose one.*
   - ☐ Less than 4%
   - ☐ 4%-6%
   - ☐ 7%-9%
   - ☐ 10%-12%
   - ☐ More than 12%

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REVIEW INVESTING APRROACH

What is investment approach?

Decisions based on different goals, risk tolerance, and future income needs. Time horizon is usually in years from a major milestone (e.g. retirement).

Should investments be rebalanced?

Yes, stock market fluctuations, increase or decrease in interest rates, and risk tolerance review help decide when investments should be rebalanced. A portfolio manager should generally rebalance each month (unless using a passive strategy).

Growth	Growth & income	Income	Inflation protection	Defensive assets
U.S. large-company stocks	U.S. high-dividend stocks	Investment-grade municipal bonds	U.S. inflation-protected bonds	Cash and cash investments
U.S. small-company stocks	International high-dividend stocks	U.S. securitized bonds	Commodities	U.S. Treasury securities
International developed-country large-company stocks	U.S. real estate investment trusts (REITs)	U.S. investment-grade corporate bonds		International developed-country bonds
International developed-country small-company stocks	International REITs	U.S. high-yield corporate bonds		Gold and other precious metals
International emerging-market stocks	Master limited partnerships (MLPs)	Bank loans		
		Preferred stocks		
		International emerging-market bonds		

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REBALANCE INVESTMENTS

What is rebalancing?

Rebalancing is shifting back to the initial target with investing. Certain times a portfolio will stray and it’s not lining up with a persons goals and objectives.

When should rebalancing take place?

A good investment approach looks at possibly rebalancing at least each month. Mutual funds and target date funds automatically rebalance but the approach might be the same felt with an investor’s.

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GROWTH VS. VALUE INVESTING

What is growth and value?

Approaches in either stock or mutual fund investing. Growth investors look for companies with strong earnings. Value investors look for companies that are undervalued. Both approaches can help diversify and balance a portfolio.

Which one has better performance?

While growth surged in value from 2020-2021, a shift away from growth to value over the last year would've added better performance overall.

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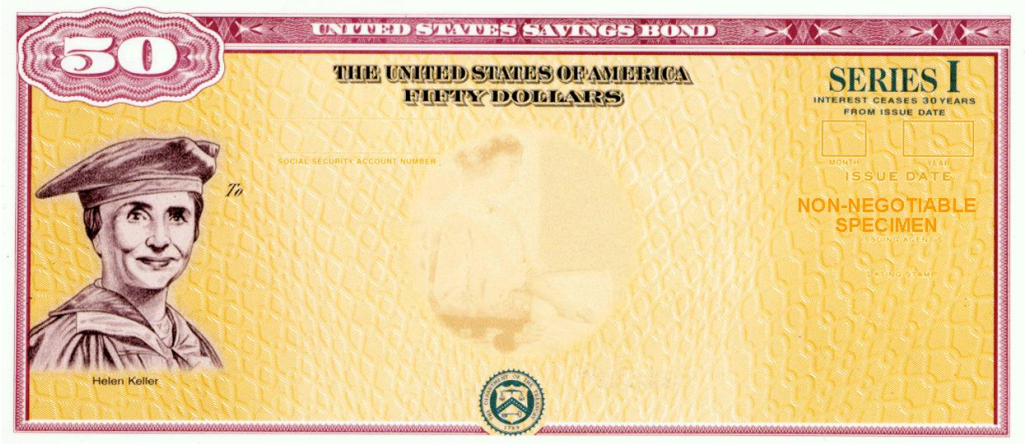
SERIES I BONDS

What are I bonds?

Government-backed bonds connected to the inflation rate. They have a 30-year maturity and can be redeemed one year after issue date (3-month interest penalty before five years). The rate is made up of base and variable rate since 1998.

Is there a purchase limit amount?

Yes, up to $10,000 per person (per Social Security number) each calendar year. A married couple can purchase up to $20,000.



Source: U.S. Department of the Treasury

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DIVERSIFY TAX CLASSES

What types of tax classes exist?

Taxable income, tax-deferred, and tax-free. Stocks, bonds, mutual funds, ETFs, and other tax-preference investments receive favorable long-term capital gains.

Does diversifying tax classes help?

Yes, during retirement tax classes is an important process as generally investments should be distributed as follows:

1. Taxable income
2. Tax-deferred and long-term capital gains
3. Tax-free

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DOLLAR COST AVERAGING

What is dollar cost averaging?

Investing a fixed dollar amount on a regular basis (e.g. monthly), regardless of the price. For those seeking discipline, this is the right approach.

Does dollar cost averaging work?

In theory, if an investor is controlled, the price should be relatively low when buying over time. However, potential higher returns are missed when using this strategy.

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ANNUITY AS BOND SUBSTITUTE

What types of annuities can be used?

Almost all types including immediate, Multi-Year Guaranteed Annuities (MYGAs), indexed, and variable annuities. However, variable ones shouldn't be used.

How should an annuity be positioned?

MYGAs are purchased for a set amount of years (e.g. 1, 2, 3, 5, 7, 10, or more). Immediate annuities as well as indexed, and variable annuities with an income rider are for income needs.

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LIFE POLICY AS BOND SUBSTITUTE

Can life insurance be an asset class?

Yes, besides annuities, life insurance is also another non-correlating asset class. Life insurance requires a lot more maintenance and supervision, which is opposite for annuities and can also lapse.

Which is the better option?

For the majority of the time, annuities are a more optimal asset class in comparison to life insurance.

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SEQUENCE OF RETURNS

What is investment approach?

The impact of receiving lower or negative returns early when withdrawals are made in retirement, which can significantly decrease the overall longevity of a portfolio.

Are inflation-adjusted withdrawals from a riskier portfolio efficient?

American College states that while a constant percentage doesn't result in sequence risk, inflation-adjusted withdrawals would.

	"Up" Market			"Down" Market		
Age	5% Annual Withdrawals	Annual Return	Year End Value	5% Annual Withdrawals	Annual Return	Year End Value
65			$1,000,000			$1,000,000
66	$50,000	5%	$1,000,000	$50,000	-25%	$700,000
67	$50,000	28%	$1,230,000	$50,000	-14%	$552,000
68	$50,000	22%	$1,450,600	$50,000	-10%	$446,800
69	$50,000	-5%	$1,328,070	$50,000	16%	$468,288
70	$50,000	20%	$1,543,684	$50,000	21%	$516,628
71	$50,000	19%	$1,786,984	$50,000	5%	$492,460
72	$50,000	23%	$2,147,990	$50,000	-16%	$363,666
73	$50,000	9%	$2,291,309	$50,000	8%	$342,760
74	$50,000	16%	$2,607,919	$50,000	14%	$340,746
75	$50,000	23%	$3,157,740	$50,000	24%	$372,525
76	$50,000	22%	$3,802,443	$50,000	14%	$374,679
77	$50,000	-26%	$2,763,808	$50,000	5%	$343,412
78	$50,000	-15%	$2,299,237	$50,000	-15%	$241,901
79	$50,000	5%	$2,364,199	$50,000	-26%	$129,006
80	$50,000	14%	$2,645,186	$50,000	22%	$107,388
81	$50,000	24%	$3,230,031	$50,000	23%	$82,087
82	$50,000	14%	$3,632,235	$50,000	16%	$45,221
83	$50,000	8%	$3,872,814	$50,000	9%	$0
84	$50,000	-16%	$3,203,164	$50,000	23%	$0
85	$50,000	5%	$3,313,322	$50,000	19%	$0
86	$50,000	21%	$3,959,120	$50,000	20%	$0
87	$50,000	16%	$4,542,579	$50,000	-5%	$0
88	$50,000	-10%	$4,038,321	$50,000	22%	$0
89	$50,000	-14%	$3,422,956	$50,000	28%	$0
90	$50,000	-25%	**$2,517,217**	$50,000	5%	**$0**
Average Return		6%			6%	

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AVERAGE VS. ACTUAL RATE OF RETURNS

What's the difference between both?

The term "average vs. actual" is used by financial advisors as a sales and marketing tool to illustrate supposed performance but doesn't show reality.

How will knowing the difference help?

Per the examples, both have a 7% rate of return but one example has a different balance than the other. Also, constant interest rates should never be shown as it creates a false narrative.

Let's use the previous two examples but include an annual $4,000 withdrawal:

Example #1:

- Year 1 = $107,000 (7%) - $4,000
- Year 2 = $110,210 (7%) - $4,000
- Year 3 = $113,645 (7%) - $4,000
- Year 4 = $117,320 (7%) - $4,000
- Year 5 = $121,252 (7%) - $4,000

Example #2:

- Year 1 = $120,000 (20%) - $4,000
- Year 2 = $126,440 (9%) - $4,000
- Year 3 = $100,401 (-18%) - $4,000
- Year 4 = $105,077 (9%) - $4,000
- Year 5 = $116,239 (15%) - $4,000

Source: Kiplinger

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ROLES OF DIFFERENT ADVISORS

Custodian

Broker-dealer or bank

Portfolio Manager

Investment recommendations

Financial Advisor

Planning recommendations

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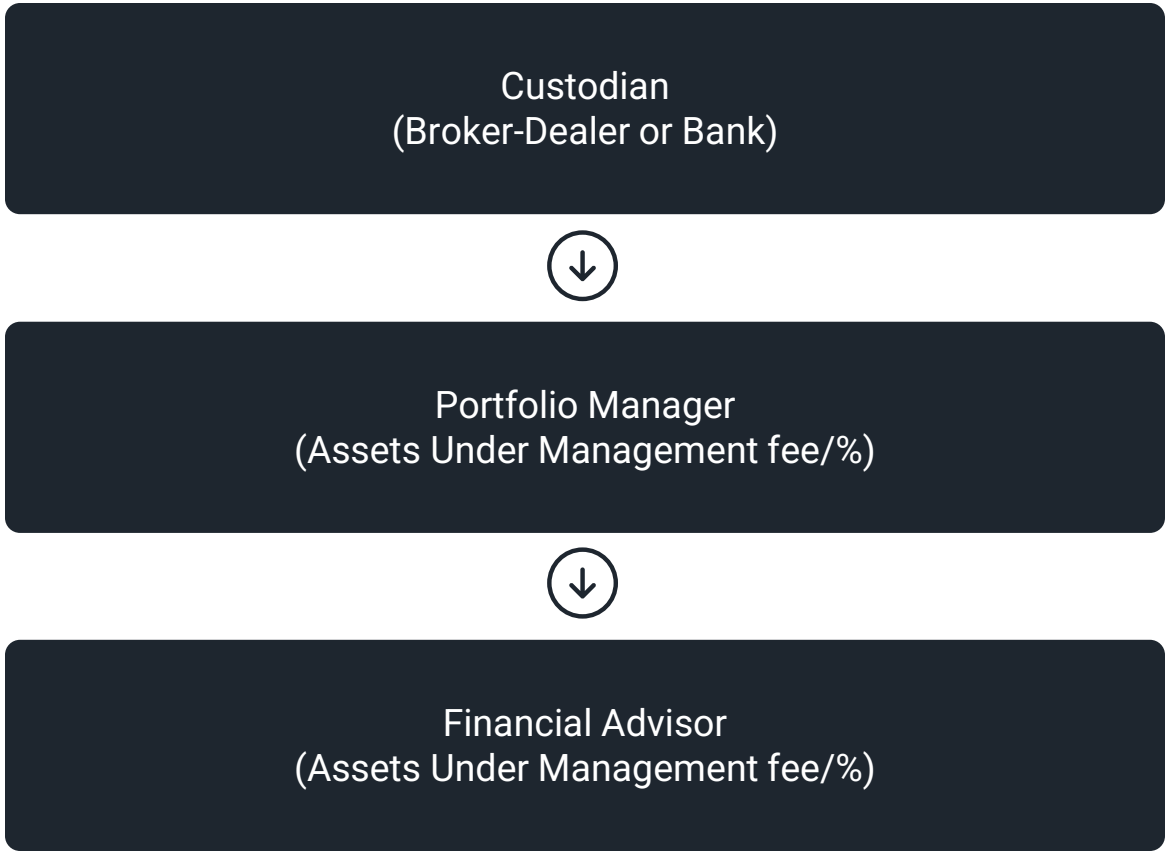
ROLE OF DIFFERENT ADVISORS

Does each advisor have a role?

Yes, a custodian (e.g. broker-dealer or bank) is to safeguard money invested. A portfolio manager assists in the investment approach and a financial advisor helps with planning and keeping everything together.

What's the difference between each?

Portfolio managers and financial advisors affiliated with a broker-dealer or bank have loyalty to their firm before a client's. Thus, "best interest" can't exist when everything is offered at one company.



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CUSTODIAN OF ASSETS

Who is the custodian for investing?

Depending on the firm, either a broker-dealer (e.g. Charles Schwab, Fidelity, etc.) or bank (e.g. Axos Bank) will be the custodian and not the financial advisor.

Do advisors have custody of assets?

No, legitimate financial advisors (e.g. IARs and RIAs) aren't allowed to come in physical contact with a clients assets. Since the Bernie Madoff Ponzi scheme, there's been more of an emphasis for better supervision and client advocacy.

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LOCAL VS. VIRTUAL ADVISORS

Are local financial advisors “worth it?”

Often, local financial advisors are comprised of brokers/registered representatives (selling investments) that may not represent a client’s true objectives.

How can a virtual advisor add value?

A virtual advisor can add more knowledge, planning techniques, software, lower fees, and better overall value as opposed to a local advisor that may only be affiliated with a broker-dealer or bank.

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ROBO ADVISORS

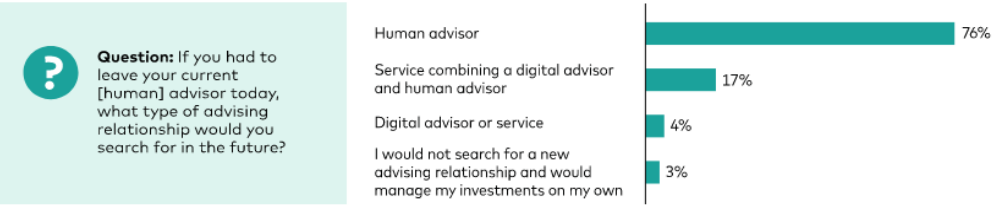
Are robo advisors worth it?

With an emphasis on low fees and automation through algorithms, robot advisors are on pace to manage $1 trillion of American's investments. For those needing other services such as planning or advice, they won't be able to replace human advisors.

Are human advisors still in demand?

Yes, Vanguard surveyed 1,500 investors and found that 88% of digital-only respondents were willing to switch to a human financial advisor in the future.

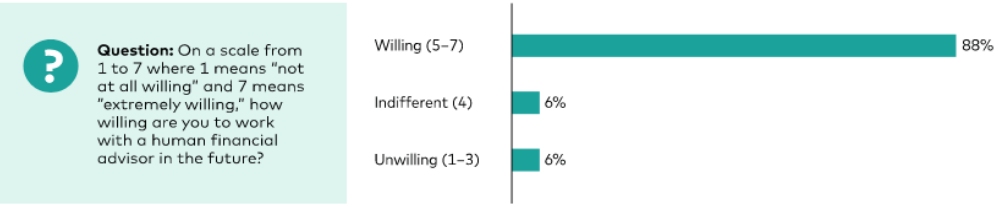
Investors with human advisors are unlikely to switch to a digital service



Note: The sample in this figure includes all clients who have only human advisors (1,175 in total).

Source: Vanguard, 2021.

Investors with digital advisors are likely to switch to human advisors



Note: The sample in this figure includes all clients who have only digital advisors (135 in total).

Source: Vanguard, 2021.

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INVESTORS FEES RESEARCH

Background

Investment Company Institute (ICI) looked at mutual fund expense ratios over the past 25 years.

Results

- In 1996, mutual fund expense ratios averaged 1.04% but fell to 0.47% in 2021
- 89% of gross sales of mutual funds were no-load with no 12b-1 fees, compared to 46% in 2000

FIGURE 1

Average Expense Ratios for Long-Term Mutual Funds Have Fallen

Percent

Year	Equity	Hybrid	Bond	Money market
1996	1.04	0.95	0.84	0.52
1997	0.99	0.92	0.82	0.51
1998	0.96	0.89	0.80	0.50
1999	0.98	0.90	0.77	0.50
2000	0.99	0.89	0.76	0.49
2001	0.99	0.89	0.75	0.46
2002	1.00	0.89	0.73	0.44
2003	1.00	0.90	0.75	0.42
2004	0.95	0.85	0.72	0.42
2005	0.91	0.81	0.69	0.42
2006	0.88	0.78	0.67	0.40
2007	0.86	0.77	0.64	0.38
2008	0.83	0.77	0.61	0.35
2009	0.86	0.84	0.64	0.33
2010	0.83	0.82	0.63	0.24
2011	0.79	0.80	0.62	0.21
2012	0.77	0.79	0.61	0.18
2013	0.74	0.80	0.61	0.17
2014	0.70	0.78	0.57	0.13
2015	0.67	0.76	0.54	0.13
2016	0.63	0.73	0.51	0.20
2017	0.59	0.70	0.48	0.25
2018	0.54	0.66	0.47	0.25
2019	0.51	0.63	0.46	0.24
2020	0.50	0.59	0.42	0.21
2021	0.47	0.57	0.39	0.12

Note: Expense ratios are measured as asset-weighted averages.
Sources: Investment Company Institute, Lipper, and Morningstar

Source: ICI

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POLLING QUESTION #3

What type of portfolio management is the “set it and forget it” approach?

a. Discretionary management
b. Non-discretionary management
c. Active management
d. Passive management

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CHOOSING AN ADVISOR

Broker or Registered Rep

Regulated by FINRA (Series 6, 7, and 63 licenses)

Investment Adviser

Regulated by SEC (Series 65 license)

Combination

Regulated by both FINRA and SEC (All of the above)

Insurance Agent

Regulated by the state insurance department

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CHOOSING AN ADVISOR

Are all financial advisors the same?

No, due to broker-dealer affiliation and lack of fiduciary duty, most are salespeople.

What licenses do they have?

- Broker: Series 6 and/or Series 7, Series 63 and Series 65 or Series 66
- Investment Adviser: Series 65
- Insurance agent: State insurance license

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FIDUCIARY VS. SUITABILITY STANDARD

Are advisors held to different ethics?

Yes, both investment advisers and brokers have different ethical standards unless dual registered.

What is fiduciary standard?

Minimizing conflicts of interest under the Investment Advisers Act of 1940:

- Place client's interest before their own
- Prohibited from purchasing securities for their account before a clients
- Investment advice uses accurate and complete information with thorough analysis
- Must disclose any existing or potential conflicts of interest

Suitability Standard

- Investments sold must be deemed to be suitable, but not necessarily what's the best option for the client.
- The advisers covered by this standard are classified as brokers (or stockbrokers), Registered Representatives (RRs), wirehouses and banks.
- The advisers are paid commissions calculated as a percentage of the amount invested.
- They are governed by the Financial Industry Regulatory Agency (FINRA).

Fiduciary

- The investments offered must be in the best interests of their clients.
- Such financial professionals are classified as investment advisers, Investment Adviser Representatives (IARs) and
- Registered Investment Advisers (RIAs).
- They are often paid a percentage of assets under management, a flat fee, a fee per hour or as a percentage of assets under management.
- They are governed by the Securities and Exchange Commission (SEC).

Source: Kiplinger

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FIDUCIARY VS. SUITABILITY STANDARD

Who is held to what standard?

Investment advisers (not dual registered) are fiduciaries and brokers are abide by the suitability standard.

What is suitability standard?

General suitability obligations under FINRA Rule 2111:

- Reasonably believe any recommendations made are suitable for a client
- Transaction costs are not excessive
- No excessive trading (or "churning") to generate commissions or frequently switching accounts
- Disclosing potential conflicts of interest is not as strict

Brokers (or registered representatives)

- **Type of Standard:** Suitability standard
- **Company:** Broker-Dealer (or wirehouse firm)
- **Type of Compensation:** Commissions on investment produces (stocks, bonds, mutual funds, hedge funds or options)
- **Licenses (and Regulating Body):** Series 6 or 7, Series 63 (Financial Industry Regulatory Authority — FINRA)

Insurance Agents

- **Type of Standard:** Suitability standard
- **Company:** Insurance company (or insurance brokerage)
- **Type of Compensation:** Commissions on insurance products (life, health, long-term care, disability and annuities)
- **Licenses (and Regulating Body):** Life, health and annuity (state insurance department)

Investment Advisers (or RIAs)

- **Type of Standard:** Fiduciary standard
- **Company:** Registered Investment Adviser (RIA)
- **Type of Compensation:** Fees (for financial plan, investment advice or percentage of assets under management)
- **Licenses (and Regulating Body):** Series 65 (Securities & Exchange Commission — SEC)

Source: Kiplinger

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DISCLOSURE LANGUAGE

What if affiliated with broker-dealer and RIA?

Securities with <Company>, Member FINRA/SIPC and Investment Advisor Representative with <Company>, an SEC Registered Investment Advisor" or "Securities offered by <Company>, Member FINRA/SIPC.

What if only affiliated with RIA?

Investment Advisory Services offered through <Company>, a Registered Investment Advisor.

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QUESTIONS TO ASK

What is the return over several years?	What is the standard to compare?	Is the portfolio better or worse?	What is the actual risk in the portfolio?	What is the risk-adjusted return?
Average vs. actual return in past 1, 3, 5, and 10 years	Benchmark comparison for a portfolio	Comparing the benchmark and adjusting returns	Standard deviation or volatility	Return in exchange with volatility

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QUESTIONS TO ASK

Is the risk for the reward worth it?

Sharpe ratio (measuring risk-adjusted returns).

What are the total fees being paid?

Hidden, disclosed, portfolio manager, and advisor fees.

Are products sold in my “best interest” or “suitable” for commissions?

Difference between an investment advisor (not affiliated with a broker-dealer) versus registered representative with many licenses (e.g. Series 6 or Series 7).

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POLLING QUESTION #4

Which type of risk exists when there are lower or negative returns early on in combination with retirement withdrawals?

a. Interest rate risk
b. Dollar cost averaging
c. Sequence of returns
d. Manager risk

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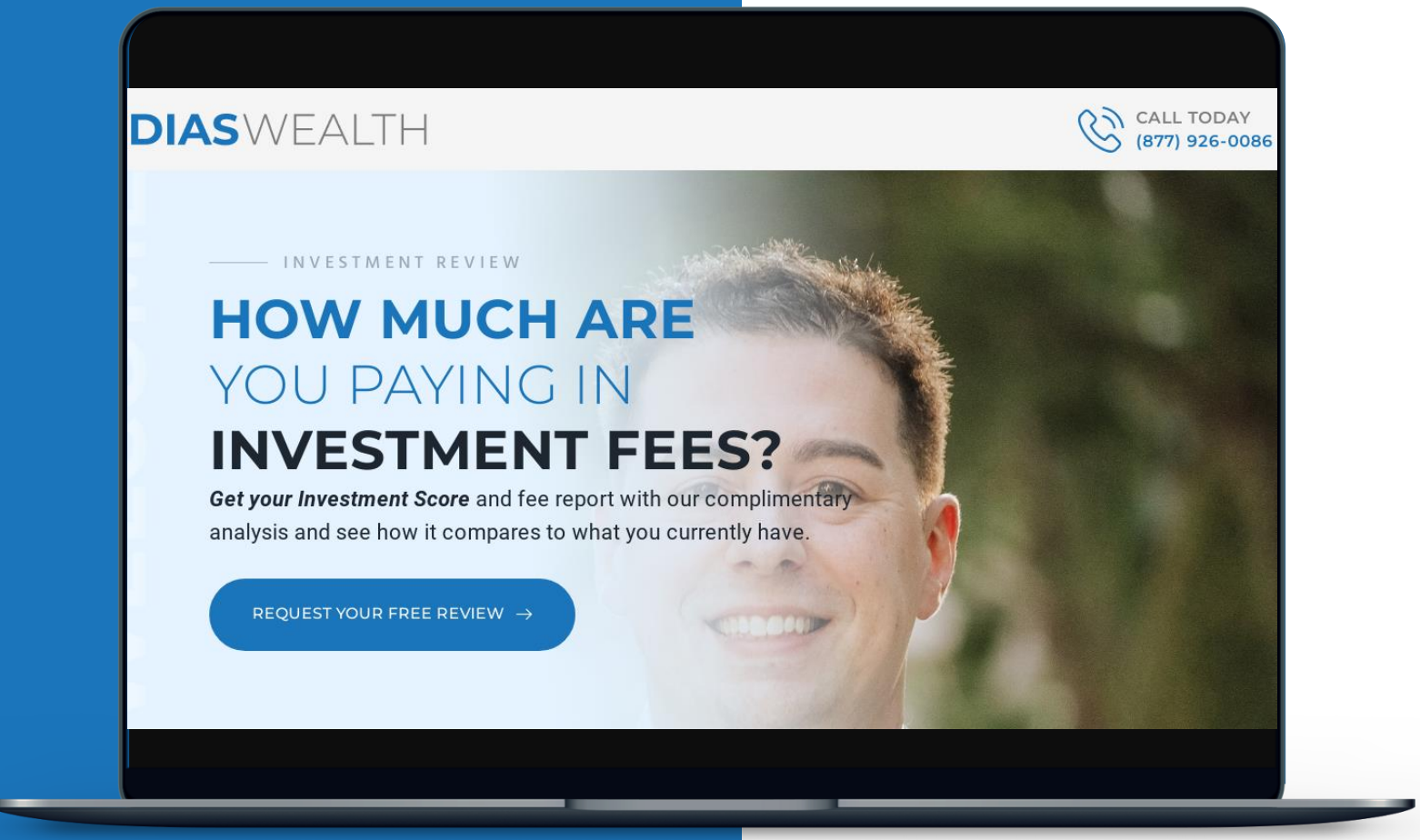

INVESTMENT REVIEW

Request complimentary review at:
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calendly.com/diaswealth

CONTACT

linktr.ee/diaswealth

linqapp.com/carlosdiasjr

PHONE OR EMAIL

(407) 801-2244

carlos@diaswealth.com